

TATA CONSULTANCY SERVICES LIMITED

Annual Report FY2023–24: Performance Overview & Highlights

Tata Consultancy Services (TCS) delivered a resilient performance in Financial Year 2023–2024 amidst macroeconomic volatility and heightened enterprise caution across major western markets. Our robust client relationships, differentiated full-services portfolio, and disciplined operational execution drove steady financial performance and industry-leading margins.

Key Financial Highlights (Consolidated):

Financial Metric	FY2024 (INR Crores)	FY2023 (INR Crores)	YoY Growth
Total Revenue from Operations	■240,893	■225,458	+6.8%
Operating Profit (EBIT)	■59,314	■54,237	+9.4%
Operating Margin	24.6%	24.1%	+50 bps
Net Profit (Profit After Tax)	■46,099	■42,303	+9.0%
Net Margin	19.1%	18.8%	+30 bps
Earnings Per Share (EPS)	■125.88	■115.19	+9.3%
Free Cash Flow	■44,282	■41,200	+7.5%

Executive Summary on Revenue: What was the total revenue in FY2024? Total revenue in FY2024 reached **■240,893 crore** (\$29.1 billion), demonstrating an organic revenue expansion of 6.8% over the previous fiscal year.

MANAGEMENT DISCUSSION AND ANALYSIS

Market Landscape and Growth Vectors

During FY2024, our clients accelerated their digital transformation initiatives focusing on cost optimization, cloud migration, and AI integration. TCS participated in major deal renewals and strategic vendor consolidation mandates, closing an all-time high Total Contract Value (TCV) of \$42.7 billion in orders.

Industry Vertical Performance:

Industry Vertical	% of Revenue	FY2024 Performance Drivers
Banking, Financial Services & Insurance (BFSI)	30.5%	Resilient wealth management, regulatory tech, Core banking modernize
Consumer Business & Retail	15.8%	Supply chain resilience, omni-channel commerce platforms
Life Sciences & Healthcare	11.2%	Clinical trial analytics, cloud-first drug discovery systems
Manufacturing	10.4%	Industry 4.0, smart factory automation, connected vehicle platforms
Technology & Services	8.9%	Platform engineering, enterprise SaaS implementation
Communication & Media	6.7%	5G network rollouts, operational digitization

Artificial Intelligence and GenAI: TCS established a dedicated AI.Cloud business unit, training over 300,000 employees in AI essentials and launching TCS AI WisdomNext, an aggregator platform helping clients orchestrate enterprise GenAI models.

RISK MANAGEMENT & ENTERPRISE GOVERNANCE

Main Risks Mentioned by Management

The Board and Enterprise Risk Management (ERM) committee conduct regular reviews to identify and mitigate strategic, operational, cyber, financial, and compliance risks. The principal risks identified by management in FY2024 include:

- 1. Macroeconomic Uncertainty & Discretionary IT Spend:** Continued softness in discretionary spending across North America and Europe, particularly in the banking and telecom sectors, may postpone customer decision cycles and contract execution.
- 2. Rapid Advances in Generative AI:** Accelerating adoption of Generative AI could disrupt traditional IT labor-based billing models. TCS is actively counteracting this by embedding AI-assisted coding and automated service delivery into its engagement frameworks.
- 3. Cybersecurity & Data Privacy Risks:** Threat actors increasingly target distributed enterprise networks and software supply chains. Unmitigated security vulnerabilities or unauthorized data access could lead to regulatory penalties and reputational loss.
- 4. Geopolitical Conflicts & Cross-Border Delivery:** Ongoing geopolitical friction in Eastern Europe and the Middle East, along with potential trade barriers and visa regulation shifts in key geographies, could disrupt international delivery centers.
- 5. Foreign Exchange & Currency Volatility:** Significant volatility in foreign currency exchange rates (principally USD, EUR, and GBP against INR) poses direct translation and realization risks to operating revenue and margins.
- 6. Talent Retention & Wage Inflation:** Intense competition for specialized engineering talent in cloud, cybersecurity, and artificial intelligence puts pressure on compensation structures and employee retention.

Management Response: TCS mitigates these through active hedging policies, comprehensive security operations centers (SOC), and aggressive reskilling of its global talent pool.

OUR PEOPLE & HUMAN CAPITAL

Workforce Metrics and Talent Development

Our employees are the core differentiator of TCS. We maintain a diverse, skilled, and global workforce committed to delivering customer success across all delivery locations.

Human Capital Metric	Metric Value as of March 31, 2024	Notes & Industry Context
Total Number of Employees	601,546 employees	Global full-time workforce headcount
Women Professionals	35.6% (214,150+ women)	One of the world's largest employers of women
Nationalities Represented	152 nationalities	Operating across 55 countries
Annual Training Hours	51 million learning hours	Average 85+ learning hours per associate
AI-Trained Associates	300,000+ employees	Certified in foundational & advanced AI competencies
Attrition Rate (LTM)	12.5%	Moderated from 20.1% in the prior year

Employee Count Answer: How many employees does the company have? As of March 31, 2024, TCS has a total workforce of **601,546 employees**.

SHAREHOLDER INFORMATION & DIVIDEND POLICY

Dividend per Share and Capital Allocation

TCS follows a disciplined capital return strategy, returning between 80% to 100% of free cash flow to equity shareholders through dividends and buybacks.

Dividend Distribution	Amount per Share (INR)	Record / Payment Date
First Interim Dividend	■9.00 per equity share	July 2023
Second Interim Dividend	■9.00 per equity share	October 2023
Third Interim Dividend	■9.00 per equity share	January 2024
Special Dividend	■18.00 per equity share	January 2024
Final Dividend (Recommended)	■28.00 per equity share	Subject to AGM approval (June 2024)
Total Dividend for FY2024	■73.00 per equity share	Combined distribution for the year

Dividend Answer: What is the dividend per share? The total dividend per share for FY2024 was **■73.00** (including ■27 across three interim dividends, ■18 special dividend, and ■28 final dividend recommended by the Board).

Share Buyback: In addition to dividends, TCS completed a **■17,000** crore share buyback in December 2023, repurchasing 40,963,855 equity shares at **■4,150** per share.

CONSOLIDATED FINANCIAL STATEMENTS

Balance Sheet and Cash Position (As of March 31, 2024)

TCS maintained an unencumbered balance sheet with zero long-term debt and strong liquidity reserves. All figures are presented in INR Crores under Ind AS guidelines.

Balance Sheet Line Item	As at March 31, 2024 (■ Cr)	As at March 31, 2023 (■ Cr)
Non-Current Assets (Property, Plant & Equipment, Intangible Assets)	■36,110	■36,110
Cash and Cash Equivalents + Investments	■48,150	■49,820
Trade Receivables and Other Current Assets	■56,105	■52,140
Total Assets	■142,500	■138,070
Total Equity (Share Capital + Reserves)	■98,450	■95,200
Total Borrowings / Long-term Debt	■0 (Zero Debt)	■0 (Zero Debt)
Current Liabilities and Provisions	■44,050	■42,870
Total Equity and Liabilities	■142,500	■138,070